COURSE GUIDE · JONATHAN GRIMM · FERNBRIDGE ADVISORS

THE STORY OF RETIREMENT

A brief history (because it really hasn't been around that long)

Retirement as most Americans picture it (stop working around 65 and live off your money) is about 130 years old, and it is coming apart. This course starts where we are: the collapse of the retirement system most Americans were promised, 2010 to 2040. Then it works backward to see how we got here, through the 401(k) era, the postwar golden age, the Depression and Social Security, Bismarck's pension, and the world that had no word for retirement. Only then does it turn forward again, to where the current path leads and what a correction could look like. Students read Jonathan Grimm's history, work with an interactive timeline of policy, markets, movements and inequities, and follow nine 'seeds' from today's harvest back to their roots. The course ends with the question the book asks every reader: who gave you that dream, and what would a better answer to the human question of aging look like?

Course outcomes

By the end of the course, students will be able to:

1. Trace today's retirement system back to its origins, from the 401(k) era through Social Security and Bismarck to pre-industrial community care, using dated evidence.
2. Explain how policy, markets, social movements and exclusions interacted in each era, and identify who each system served and who it left out.
3. Apply the nine-seeds framework to analyze how an idea becomes an institution, and evaluate where the framework is strong or weak.
4. Distinguish the humanitarian question (how do we care for people as they age?) from the structural question (what systems do we build to do it?), and analyze how the two were conflated.
5. Use primary sources and quantitative data (Trustees Reports, the Survey of Consumer Finances, market history) to test claims about retirement security.
6. Design and defend a corrective proposal grounded in evidence and in the principles of Not Poverty, Community and Generativity.

Schedule

WHEN	UNIT	FOCUS	ASSIGNMENT
Weeks 1–2	Unit 1. Collapse	Where we are: living inside the collapse	Your Number vs. the Data
Week 3	Unit 2. Conclusion	How to read this story: a history that begins at the end	Who Gave You That Dream?
Weeks 4–5	Unit 3. Codify	How we got here: the 401(k) and the great risk transfer	Following the Risk: A DB-to-DC Data Investigation
Weeks 6–7	Unit 4. Climax	How we got here: the golden age and its boundaries	Anomaly or Model? A Debate Brief
Week 8	Unit 5. Crucible	How we got here: Depression, Social Security and war	What They Knew: A Two-Person Lens Oral History
Week 9	—	Timeline Annotation Project due; mid-course review	
Week 10	Unit 6. Conception	How we got here: Bismarck, the Civil War pension, the factory gate	Policy Brief: Was Retirement Born as a Vacancy Mechanism?
Week 11	Unit 7. Classical	The root: a world with no word for retirement	Then and Now: A Community Care System Through the Natural Order Lens
Week 12	Unit 8. Catastrophe	Where it's heading: projections, scenarios and choices	Two Futures: A 2050 Scenario Memo
Weeks 13–14	Unit 9. Correction	What we do now: untying the knot	Design a Correction
Week 15	—	Capstone presentations	

Grading

COMPONENT	WEIGHT	WHAT IT IS
Unit assignments	40%	Eight assignments (Units 1–8), 100 points each, graded with the rubric on each unit page.
Seed Journal	15%	Twelve weekly entries tracing one or more of the nine seeds through the week's reading and a current news item.
Timeline Annotation Project	15%	Mid-course project: add five well-sourced events to the timeline and argue which seed each one waters.
Self-checks and discussion	10%	Unit self-check quizzes completed before class, plus contributions to discussion.
Capstone: Design a Correction	20%	The Unit 9 (Correction) assignment, submitted in writing and presented in Week 15.

Grade scale: A 93–100 · A– 90–92 · B+ 87–89 · B 83–86 · B– 80–82 · C+ 77–79 · C 73–76 · C– 70–72 · D 60–69 · F below 60

How to use the course site each week

1. Start where we are. Each unit opens on the timeline: find its era, switch on the Seeds and Two-Person Lens layers, and click through the events before you read.
2. Read the chapter, which runs sideways in the unit view, or download it. The text is the author's working draft, so you are reading a book in progress.
3. Use the unit's study guide, events, inequities and primary sources panels.
4. Listen to the podcast and watch the lecture for the era when they are posted.
5. Take the self-check, then complete the assignment using its rubric as your checklist.

Sources and integrity

Cite every source you use, including AI tools, with the prompt you gave and how you used the output. Quoting the book or the course site requires a citation like any other source. The author's chapters are a draft shared for this course: please don't redistribute them outside the class.

Engaging inequity

Inequity runs through every unit of this course, and it is not simple. The data are clear about the pattern: in the United States, being male, white, highly educated and high-earning is the primary demographic of economic success, and of a secure retirement. In the author's words, this is not the rule but a serious data point. People outside that category have, on average, a different reality, and there are many examples of people who transcend it.

Some groups carry disadvantages that others do not, and the disadvantages do not add up on a single scale. A wealthy member of a minority group and a poor white worker do not face the same retirement; neither do a college-educated woman and a man who left school at sixteen. So this course never assigns progress, or its absence, to one variable. It asks you to hold several at once: income, race, sex, education, job, place, immigration, longevity and generation.

The purpose, for the author and for this project, is to illustrate the pattern in order to work toward equality of opportunity, not equality of outcome. You are not asked to agree with that aim. You are asked to argue with the evidence, in both directions.

> *"Male, white, highly educated, high income earning is the primary demographic of economic success. This is not the rule but a serious data point. In every case those not in this category have a different reality, but there are many examples of those that transcend. For me and this project it is a point to illustrate in order to work towards more equality of opportunity and not equality of outcome."*
>
> — JONATHAN GRIMM

The inequity funnel: the author's working theory

The author's working theory of how the variables rank. He offers it as a hypothesis, not a finding: four levels, in order, with poverty waiting at the mouth of the funnel for anyone who falls through. Test it against the evidence in every unit.

LEVEL	IN HIS WORDS	AGAINST THE DATA
1. Wealth	*Wealth seems to transcend the others. It doesn't completely eliminate bias, stereotype and the rest, but it is the one variable with a bit of transcendence.*	Conditional on their parents' income, Black and white women earn about the same as adults: at the same starting point, that gap closes. Black men do not; raised at the same family income, they earn less than white men in 99 percent of U.S. neighborhoods (Chetty, Hendren, Jones & Porter, 2018). Wealth transcends, and does not erase.
2. Gender	*There is much debate in our times around this, but there is a legacy male/female bias that seems bigger than any culture or any social construct.*	Among people 65 and older, women are poorer than men inside every racial group: white women 8.0 percent against white men 5.6; Black women 20.4 against Black men 16.2; Hispanic women 19.7 against Hispanic men 14.1 (KFF, 2015–2017 averages). The average retired-worker benefit is $1,780 a month for women and $2,181 for men (SSA, December 2024).
3. Ethnicity	*Caucasian and Asian have a preference position compared to others, given the data I have surveyed.*	Median household income in 2023: Asian $112,800; white non-Hispanic $89,050; Hispanic $65,540; Black $56,490 (Census). Median family wealth in 2022: white $285,000; Hispanic $61,600; Black $44,900 (Survey of Consumer Finances). The exceptions are real: Hispanic Americans show relatively high upward mobility across generations, and the children of immigrants from nearly every country outclimb the children of the U.S.-born (Chetty et al.; Abramitzky, Boustan, Jácome & Pérez).

LEVEL	IN HIS WORDS	AGAINST THE DATA
4. Education	*A highly educated minority is different than a low-educated Caucasian. It is a multi-variable calculus that cannot be reduced to one of these variables.*	Median family net worth in 2022 runs from $38,100 for households headed by someone without a high-school diploma to $464,600 with a college degree (SCF). Education does not cancel the levels above it: from 1992 to 2013 the median wealth of college-educated white families rose about 86 percent and of college-educated Asian families about 90 percent, while it fell about 56 percent for college-educated Black families and 27 percent for college-educated Hispanic families (Federal Reserve Bank of St. Louis, Emmons & Noeth, 2015).
The mouth	*Poverty is the most equal opportunity player in the world. It does not care about any of this, but there are contributing factors.*	

A funnel ranks average effects; it is not a formula. The levels interact (a wealthy woman, a poor white man, a college-educated immigrant, a Black college graduate whose home lost half its value in 2008), which is why every “Who was left out” entry carries more than one tag. Students are asked to find one entry where the order holds and one where it breaks.

Seven working principles

1. **More than one variable.** Every inequity on this site is tagged with the variables at work. When you analyze one, name at least two. The 1935 occupational exclusions were about race, and also about place (the rural South) and job (farm and household work).
2. **Hold two true facts at once.** In 1935, about 65 percent of Black workers and 27 percent of white workers held jobs excluded from Social Security. Because white workers were the large majority, roughly three-quarters of the excluded workers were white. Both facts are true. An honest analysis needs both.
3. **Find the mechanism.** A gap is a measurement, not an explanation. Ask what rule, market or habit produced it: an occupational exclusion, an appraisal manual, a vesting cliff, a tax deduction worth more to a high earner than a low one.
4. **Averages describe groups, not people.** A median is a statement about a distribution. It predicts nothing about the person in front of you, and it does not erase the many who have done far better than their group’s average, or far worse.
5. **Rules change; effects linger.** Redlining was banned in 1968. The home equity it denied for a generation did not come back. Expect lags of decades between a rule and its full consequences, in both directions.
6. **Name the debate.** Scholars disagree about causes. The 1935 exclusions have been read as a racial bargain with Southern Democrats and as an administrative choice about collecting payroll taxes from farms and households. Present both readings and the evidence for each, then say which you find stronger.
7. **Evidence, not stereotype.** Cite the dataset, the year and the measure. “Women have less saved” is a stereotype; “the average retired-worker benefit for women was $1,780 a month in December 2024, against $2,181 for men (SSA)” is evidence a classmate can check.

Nine variables, one checked data point each

VARIABLE	DATA POINT	SOURCE
Wealth & income	Among private-industry workers in the top tenth of wages, 94 percent had access to a retirement plan in March 2026 and 84 percent took part. Among part-time workers, 44 percent had access and 20 percent took part.	Bureau of Labor Statistics, National Compensation Survey, March 2026.

VARIABLE	DATA POINT	SOURCE
Race & ethnicity	Median family wealth in 2022: white families $285,000; Hispanic families $61,600; Black families $44,900. At the same time, conditional on their parents' income, Black and white women earn about the same; the gap is driven by men's employment and wages, and Hispanic Americans show relatively high upward mobility.	Federal Reserve, Survey of Consumer Finances 2022; Chetty, Hendren, Jones & Porter, "Race and Economic Opportunity in the United States" (2018).
Sex & gender	The average retired-worker benefit in December 2024 was $2,181 a month for men and $1,780 for women. Among people 65 and older, poverty is higher for women (10.5 percent) than men (7.4 percent), and highest for women over 80 (13.4 percent).	Social Security Administration, Fast Facts & Figures 2025; KFF analysis of Census data, 2015–2017 averages.
Education	Median family net worth in 2022 by the education of the household head: no high-school diploma $38,100; high-school diploma $106,800; some college $136,500; college degree $464,600.	Federal Reserve, Survey of Consumer Finances 2022.
Job	Private pension coverage peaked at about 38 percent of private-sector workers in 1979. Today a union worker is far more likely to have a plan than a nonunion one (91 versus 70 percent access), and a full-time worker than a part-time one (81 versus 44 percent).	Employee Benefit Research Institute; Bureau of Labor Statistics, March 2026.
Place	In 1930 about two-thirds of American homes had electricity and about a quarter of rural homes did. Where you grow up still matters: Black boys who move earlier in childhood to low-poverty neighborhoods with little racial bias and many Black fathers present earn more as adults, but fewer than 5 percent of Black children grow up in such places.	U.S. Census and the Rural Electrification Administration; Chetty et al. (2018).
Immigration	Children of immigrants have climbed the income ladder faster than children of U.S.-born parents at the same income, for families from nearly every sending country, in the 1880–1910 cohorts and in modern data alike. Transcending the average is, for this group, the historical norm.	Abramitzky, Boustan, Jácome & Pérez, "Intergenerational Mobility of Immigrants in the United States over Two Centuries," American Economic Review (2021).
Longevity	At age 40, men in the top 1 percent of income could expect to live 14.6 years longer than men in the bottom 1 percent; for women the gap was 10.1 years. From 2001 to 2014 life expectancy rose 2.3 years for the richest 5 percent of men and 0.3 years for the poorest 5 percent.	Chetty et al., "The Association Between Income and Life Expectancy in the United States, 2001–2014," JAMA (2016).
Generation	Median family net worth in 2022: under 35, $39,000; 65 to 74, $409,900; 75 and over, $335,600. Among people 65 and older, poverty rises with age, from 8.2 percent at 65–69 to 11.4 percent at 80 and over.	Federal Reserve, Survey of Consumer Finances 2022; KFF, 2015–2017 averages.

Discussion: equality of opportunity, equality of outcome

1. The author's aim is equality of opportunity, not equality of outcome. Define each in one sentence. Then take one inequity from any unit and say which kind it is. Could a reasonable classmate classify it the other way? What evidence would settle it?
2. Test the inequity funnel. Find one "Who was left out" entry where the author's order (wealth, then gender, then ethnicity, then education) explains the outcome, and one where it does not. What would you add to the funnel, or reorder, and on what evidence?
3. Pick any "Who was left out" entry and list every variable at work. Which one does the entry lead with? Rewrite its first sentence leading with a different variable, and say what the new version reveals and what it hides.
4. In 1935 most Black workers were excluded from Social Security, and most excluded workers were white. Write the paragraph a historian of race would write about this and the paragraph a historian of labor would write. Where do they agree, and which paragraph would a farm worker's daughter recognize?

5. Children of immigrants have climbed the income ladder faster than the children of the U.S.-born for more than a century, while the Black-white wealth gap has barely moved in decades. What does this pair of facts suggest about which mechanisms (law, housing, credit, schooling, family, place) matter most?
6. Describe someone, from history, the news or your own family, who transcended the average of their group. Name the specific opportunities that made it possible. Which of those were available to everyone in that group, and which were luck?
7. Redlining was banned in 1968, yet the wealth gap it helped create is measurable in 2022. Does a rule change count as a correction if its effects persist? Design one policy that would widen opportunity without dictating outcomes, and name who would object.

Course-wide projects

Seed Journal · 15% OF GRADE

Each week, write one entry (300–400 words) that follows at least one of the nine seeds, starting from where it shows up today and tracing it back toward its root. Name the seed, quote or cite the passage from that week's chapter where you see it, then connect it to one current news story, policy debate, advertisement or conversation from your own life. End each entry with one question you can't yet answer. By Week 14 your journal should show how at least five different seeds grow across time.

Deliverable: 12 entries, 300–400 words each, submitted weekly. Each entry cites the chapter and one outside source.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Seed identification 30 pts	Names the seed precisely and shows exactly where it appears in the reading, distinguishing it from neighboring seeds.	Names the seed and points to a relevant passage.	Names a seed but the connection to the reading is loose.	Seed is missing or misidentified.
Present-day connection 30 pts	Links the seed to a specific, sourced present-day example and explains the mechanism connecting past and present.	Links to a relevant present-day example with a source.	Present-day example is general or unsourced.	No present-day connection.
Growth over time 25 pts	Entries build on one another; the journal shows how seeds change stage across eras.	Most entries refer back to earlier ones.	Entries stand alone with little development.	Entries are missing or repetitive.
Questions and clarity 15 pts	Clear prose; closing questions are specific and push the inquiry forward.	Clear prose; questions are relevant.	Some unclear writing; questions are generic.	Hard to follow; no questions.
Total	100 points			

Timeline Annotation Project · 15% OF GRADE

The timeline on this site is an argument, and every argument leaves things out. Find five events (a law, court case, market event, movement, corporate decision or cultural moment) that are not on the timeline but belong in the story of retirement. For each event, write an entry in the timeline's format: year, title, a factual description and a significance statement. Then argue which seed the event waters and whether it strengthens or complicates the book's thesis. At least two of your five events must concern people the system excluded or under-served, and for those entries name more than one variable at work (income, race, sex, education, job, place, immigration, longevity, generation) rather than assigning the result to a single cause.

Deliverable: Five entries (150–250 words each) plus a 500-word reflection on what the missing events reveal. Minimum one primary source per entry.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Accuracy and sourcing 30 pts	Every date and fact is correct and supported by a primary or authoritative source.	Facts are correct with minor sourcing gaps.	One or two factual errors or weak sources.	Multiple errors or unsourced claims.
Selection and significance 25 pts	Events are genuinely consequential and their significance is argued, not asserted.	Events are relevant and significance is explained.	Some events are marginal or significance is thin.	Events are trivial or significance is missing.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Seed analysis 25 pts	Each event is mapped to a seed with a persuasive mechanism; the student notes where the framework fits poorly.	Each event is mapped to a plausible seed.	Seed mapping is vague or forced.	No seed analysis.
Reflection and inclusion 20 pts	The reflection draws a real insight about what the timeline leaves out; excluded groups are treated with specificity; names several variables at work in the excluded cases.	Thoughtful reflection; excluded groups are addressed.	Reflection is general; inclusion requirement only partly met.	Reflection missing or inclusion requirement unmet.
Total	100 points			

Self-checks and discussion · 10% OF GRADE

Complete each unit's self-check before the first class session on that unit, and come ready to use the discussion questions. Good discussion builds on classmates' points, brings evidence from the reading and the timeline, and is willing to disagree with the book.

Deliverable: Self-checks completed on time; regular, evidence-based contributions to discussion.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Preparation 40 pts	All self-checks completed before class; contributions show close reading.	Nearly all self-checks completed; contributions show reading.	Several self-checks missed; preparation uneven.	Rarely prepared.
Use of evidence 35 pts	Regularly cites the chapter, timeline data or primary sources.	Often refers to evidence.	Mostly opinion with occasional evidence.	No evidence.
Engagement with others 25 pts	Builds on and respectfully challenges classmates, including challenging the book.	Responds to classmates.	Speaks without engaging others.	Rarely participates.
Total	100 points			

Capstone presentation · PART OF THE CAPSTONE

In Week 15, present your Correction proposal (the Unit 9 assignment) in 8 minutes, followed by 4 minutes of questions. Open with the community or family you designed for, show the evidence that defines their problem, walk through your proposal through the three principles, and name the hardest objection to it.

Deliverable: 8-minute presentation with no more than 6 slides; graded as part of the capstone (one-quarter of the capstone grade).

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Clarity of problem 25 pts	The audience understands exactly who the proposal serves and why, with data.	Problem is clear.	Problem is general.	Problem unclear.
Proposal and principles 35 pts	Proposal is concrete and visibly organized around Not Poverty, Community and Generativity.	Proposal is concrete and references the principles.	Proposal is vague or principles are named but not applied.	No coherent proposal.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Objections and evidence 25 pts	States the strongest objection fairly and answers it with evidence.	Addresses an objection.	Objection is a straw man.	No objections addressed.
Delivery 15 pts	On time, well paced, handles questions with evidence.	On time and clear.	Over time or hard to follow.	Unprepared.
Total	100 points			

UNIT 1 · WHERE WE ARE · 2010–2040 · CHAPTER 6 OF THE BOOK

COLLAPSE

When a system fails slowly, how do we know it is failing — and who carries the cost while it does?

LEARNING OBJECTIVES

- Explain how the 2026 Trustees Report arrives at its projections (OASI depletion in 2032, about 78% of scheduled benefits payable) and distinguish "scheduled" from "payable" benefits.
- Trace the defined-benefit failures of the era (Detroit, Central States and the 2021 Special Financial Assistance rescue) and evaluate who absorbed the losses.
- Analyze how the SECURE Act (2019) and SECURE 2.0 (2022) extended the individual-account model through nudges such as automatic enrollment.
- Compare the book's savings-gap arithmetic with current Federal Reserve (SCF 2025) and BLS data, identifying where the evidence supports or complicates the argument.
- Evaluate how the Two Americas seed shows up in unequal access to workplace plans, unequal wealth and unequal life expectancy.

DISCUSSION QUESTIONS

1. The book argues that 2008 should have prompted a reckoning but produced only "a fresh coat of paint." Judging by the laws in this module (SECURE, SECURE 2.0 and the 2021 pension rescue), was the post-2008 response repair, renovation or denial?
2. Challenge the book: markets regained their prior highs within months of the 2020 and 2025 drops, and the Fed's 2025 survey shows the median retirement balance among holders rising to $106,000. Does this evidence undercut the claim that the collapse is "a mathematical inevitability," or do averages hide the people the book is writing about?
3. Detroit retirees took cuts, while Central States retirees were made whole by taxpayers. What explains the different outcomes, and what do they reveal about The Promise as a moral category?
4. The Social Security Fairness Act and the 2025 senior deduction both helped current retirees while worsening long-range trust fund finances. How should lawmakers weigh obligations to today's 65-year-olds against tomorrow's 20-year-olds?
5. FIRE and the pandemic retirement wave both rejected the forty-years-then-stop script. Are they signs of the awakening the book calls "who gave you that dream?", or new versions of the Leisure and Individualism seeds?
6. Which matters most for the Two Americas seed in this era: unequal access to plans, unequal wealth or unequal lifespans? Defend your choice with data.

KEY TERMS

Trust fund depletion
The point at which a Social Security or Medicare trust fund's reserves run out. The program does not end; it can pay only what incoming revenue covers.

Scheduled vs. payable benefits
Scheduled benefits are what the current benefit formula promises. Payable benefits are what incoming revenue can fund after depletion: about 78% for OASI in 2032 under the 2026 Trustees' intermediate assumptions.

Worker-to-beneficiary ratio
The number of covered workers paying into Social Security for each beneficiary: 5.1 in 1960, 2.9 in 2010 and 2.6 in 2025, with 2.3 projected by 2035 (2026 Trustees Report).

Multiemployer pension plan
A defined-benefit plan jointly funded by many employers in an industry under a collective-bargaining agreement, such as the Teamsters' Central States fund.

Special Financial Assistance (SFA)
Non-repayable federal funds created by the American Rescue Plan Act of 2021 to keep severely underfunded multiemployer plans paying benefits, administered by the PBGC.

Automatic enrollment
A plan design that enrolls workers by default unless they opt out. SECURE 2.0 requires it for most new 401(k) and 403(b) plans starting in 2025.

Required minimum distribution (RMD)
The minimum that must be withdrawn each year from tax-deferred retirement accounts after a set age: 72 under the SECURE Act, then 73 under SECURE 2.0, rising to 75 in 2033.

Supplemental Poverty Measure (SPM)
A Census poverty measure that counts taxes, government benefits and necessary expenses such as medical costs. It shows higher poverty among older adults than the official measure (14.1% vs. 10.2% in 2022).

Peak 65
The years 2024–2027, when more than 4.1 million Americans a year turn 65 and the Baby Boom's arrival at retirement age reaches its height.

PRIMARY SOURCES

- **2026 OASDI Trustees Report — Highlights** (2026, Social Security Administration, Office of the Chief Actuary). Find the official depletion dates, the payable percentages and the 75-year deficit, and note the phrase "absent legislative action."
  https://www.ssa.gov/oact/TR/2026/II_A_highlights.html
- **Table IV.B4: Covered Workers and Beneficiaries, 1945–2100** (2026, Social Security Administration, 2026 Trustees Report). Trace the worker-to-beneficiary ratio from 41.9 in 1945 to its projected 1.9, and identify where history ends and projection begins.
  https://www.ssa.gov/oact/TR/2026/lr4b4.html
- **Changes in U.S. Family Finances from 2022 to 2025: Evidence from the Survey of Consumer Finances** (2026, Board of Governors of the Federal Reserve System). Compare retirement-account ownership (54.9% of families) and median balances with the book's savings-gap claims.
  https://www.federalreserve.gov/publications/files/scf26.pdf
- **Employee Benefits in the United States, March 2026** (2026, U.S. Bureau of Labor Statistics). Note who has access to retirement plans and who actually participates, by wage level and full- or part-time status.
  https://www.bls.gov/news.release/ebs2.nr0.htm
- **Association Between Income and Life Expectancy in the United States, 2001–2014** (2016, JAMA (Chetty et al.)). Consider what the income–longevity gap implies for a single retirement age applied to everyone.
  https://jamanetwork.com/journals/jama/fullarticle/2513561

Assignment: Your Number vs. the Data

QUANTITATIVE DATA INVESTIGATION · 100 POINTS

The Collapse chapter makes a simple calculation: a $20,000 income at a 4% withdrawal rate requires $500,000, while median savings near retirement are about $65,000. Rebuild and stress-test that argument with official data. Pull at least three figures from each of three sources: (1) the Federal Reserve's 2025 Survey of Consumer Finances, including its interactive data on medians by age; (2) the 2026 Social Security Trustees Report (depletion dates, payable percentages, worker-to-beneficiary ratios); and (3) either the BLS National Compensation Survey or the current HHS poverty guidelines. Calculate a "number" for a hypothetical 60-year-old under two scenarios, scheduled benefits and payable benefits after 2032, and explain what the gap means. Conclude by stating where the data confirm, sharpen or complicate the book's claim.

Deliverable: A 1,200–1,500-word data memo with at least one table or chart, a methods paragraph stating every assumption, and at least four cited official sources (APA or Chicago).

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Data accuracy & sourcing 30 pts	Every figure is correct, dated and traced to an official table; the memo distinguishes historical data from projections and medians from means.	Figures are mostly accurate and sourced, with minor dating or labeling gaps.	Several figures are unsourced, outdated or mislabeled (for example, means presented as medians).	Data are missing, invented or impossible to trace.
Quantitative reasoning 30 pts	Calculations are correct and transparent, assumptions are stated, and the scheduled-vs.-payable scenarios are modeled clearly, with a sensitivity check.	Calculations are correct, with some assumptions left implicit.	Calculations contain errors or skip steps, and the two scenarios are not clearly compared.	Little or no calculation, or the math is fundamentally wrong.
Engagement with the book's argument 25 pts	Fairly states the book's claim, then shows precisely where the data confirm, sharpen or complicate it, including who is hidden by the averages.	Connects the data to the book's claim, with a reasonable but general evaluation.	Mentions the book but does not test its claim against the data.	Ignores the book's argument or simply restates it.
Clarity & presentation 15 pts	Concise memo structure, with a well-labeled chart or table a non-specialist can read and clean citations.	Clear overall, with minor formatting or labeling issues.	Disorganized, or visuals are hard to interpret.	Missing visual, unclear writing or no citations.
Total	100 points			

SELF-CHECK ANSWER KEY

1. According to the 2026 Social Security Trustees Report, when is the OASI (retirement) trust fund projected to be depleted? **Answer: B. Late 2032**
2. What does SECURE 2.0 (2022) require of most new 401(k) and 403(b) plans beginning in 2025? **Answer: B. Automatic enrollment of eligible workers**
3. About how many covered workers were paying into Social Security for each beneficiary in 2025? **Answer: C. About 2.6**
4. What did the American Rescue Plan Act's Special Financial Assistance program (2021) do? **Answer: B. Provided non-repayable federal funds to severely underfunded multiemployer pension plans**
5. In March 2026, what share of the lowest-paid quarter of private-industry workers had access to an employer retirement plan? **Answer: C. About 48%**

CONCLUSION

Who gave you the dream of retirement, and what would change if you knew where it came from?

LEARNING OBJECTIVES

- Explain the book's reverse structure and how its framing devices work: the C's, the seeds, Nolan's films and the question 'Are you watching closely?'
- Distinguish the humanitarian question from the structural question, and explain what the book means by their 'conflation.'
- Identify the nine seeds by number and name, and give the era in which the book says each first appears.
- State the Future Poor thesis precisely and identify the data that would be needed to test it.
- Apply the Two-Person Lens to your own family by comparing how a 60-year-old and a 20-year-old face retirement in the same year.

DISCUSSION QUESTIONS

1. Before reading further, write your own definition of retirement. Where did each part of it come from: family, employers, media, school, finance apps?
2. The book opens by giving away its ending. In this course, what do you gain and what do you lose by knowing the destination ('catastrophe') before you see the evidence?
3. Restate the conflation in your own words. Can the humanitarian question (how do we care for people as they age?) be answered without also answering the structural one? Give an example.
4. Test the book's framing. Social Security has sharply reduced poverty among older Americans, and the 2026 Trustees Report projects that about 83 percent of scheduled benefits would still be payable after 2034, not zero. Does 'catastrophe' fit the evidence, or does it overstate it? What would you need to know to decide?
5. The Future Poor thesis makes a specific prediction (about 9 in 10 'sub-50, sub-150' Americans at or below poverty in old age). What data, definitions and assumptions would you need to verify or refute it?
6. Which of the nine seeds do you expect to matter most to your own generation? Write down your prediction now; you will revisit it at the end of the course.

KEY TERMS

Retirement (as the book defines it)
Leaving work at 65 and living the remaining years off one's money. Grimm argues this idea is only about 130 years old.

The Conflation
The merging of two different questions. One is humanitarian: how do we care for people as they age? The other is structural: what systems do we build to do it? Today's structural answer is 'you.'

Seeds
Nine ideas, each planted in a particular era, that grew together into the modern idea of retirement. The book groups them as foundation, culture and mechanism seeds.

The C's
The alliterative device that names every chapter, from Conclusion and Classical through Correction. The book uses it to train readers to notice patterns once they have been pointed out.

Inception
From Nolan's 2010 film: planting an idea in someone's mind so that it feels like their own. The book argues retirement is an idea of this kind.

The Kick
In Inception, the jolt (like the feeling of falling) that wakes a dreamer. The book calls itself 'the kick,' and calls the client question 'Who gave you that dream?' a small one.

Are you watching closely?
The book's epigraph and recurring refrain, taken from The Prestige (2006). It asks readers to watch for the trick inside a familiar story.

The Future Poor thesis
The claim from Grimm's first book that about 9 in 10 people under 50 earning less than $150,000 a year ('sub-50, sub-150') are on track to live at or below poverty level in old age.

Two-Person Lens
The course's comparison device. At each turning-point year it pairs a 60-year-old leaving work with a 20-year-old entering it: the same moment, two realities.

PRIMARY SOURCES

- **2026 OASDI Trustees Report: Conclusion** (2026, Social Security Administration, Office of the Chief Actuary). Read the projected depletion dates and payable percentages yourself. Does 'catastrophe' describe what the Trustees project?
  https://www.ssa.gov/oact/tr/2026/II_E_conclu.html
- **Retirement benefits: access, participation and take-up by wage, March 2025** (2025, U.S. Bureau of Labor Statistics). Look for Seed 7 (Two Americas) in the gap between the lowest-paid and highest-paid quarters of workers.
  https://www.bls.gov/charts/employee-benefits/percent-access-participation-takeup-retirement-benefits-by-wage.htm
- **Age 65 Retirement** (1935, SSA Historian's Office). Find out how the United States actually chose 65, and test the common Bismarck story against it.
  https://www.ssa.gov/history/age65.html
- **Normal Retirement Age by year of birth** (1983, SSA Office of the Chief Actuary). Look up your own full retirement age and a parent's or grandparent's, then compare both with the age of 65 that people still assume.
  https://www.ssa.gov/oact/progdata/nra.html

Assignment: Who Gave You That Dream?

TWO-PERSON LENS INTERVIEW + SEED HYPOTHESIS · 100 POINTS

Interview someone at least 25 years older than you, ideally a parent, grandparent or mentor near 60, and then interview yourself with the same questions. Ask: What does retirement mean to you? When did you first picture it? Who or what gave you that picture? What would you want instead, if money were not the issue? Record and transcribe the key answers. Then write a reflective essay comparing the two 'dreams' through the Two-Person Lens. Close with a seed hypothesis: name the two or three seeds (by number and name) that you predict shaped each person's dream most, and say what evidence from later modules would confirm or overturn your prediction. Keep the essay; you will revise the hypothesis in the final module.

Deliverable: 900–1,200 word reflective essay, plus an appendix of interview notes or transcript excerpts (1–2 pages) and a one-paragraph seed hypothesis. Get the interviewee's consent; use first names or pseudonyms only.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Interview quality & evidence 25 pts	Asks all the core questions plus good follow-ups. Quotes and paraphrases are specific and revealing, and consent and privacy are handled properly.	Covers the core questions with useful quotations.	Covers some questions; the answers are thin or mostly summarized.	The interview is missing, superficial or undocumented.
Two-Person Lens comparison 25 pts	Shows clearly how one moment looks different to two generations, with concrete details from each person's life and era.	Makes a clear comparison with some generational context.	Describes the two interviews side by side without much comparison.	No meaningful comparison.
Use of course frameworks 30 pts	Uses the conflation, the 'Who gave you that dream?' question and the nine seeds accurately and insightfully. The seed hypothesis is specific and can be tested.	Uses the frameworks accurately; the hypothesis is reasonable but general.	Mentions the frameworks loosely or with minor errors; the hypothesis is vague.	Frameworks are missing or misused, or there is no hypothesis.
Reflection & writing 20 pts	Honest, thoughtful reflection on the student's own assumptions, in clear and well-organized prose.	Some genuine reflection; clear writing with minor issues.	Little reflection, or the writing gets in the way of the meaning.	No reflection; disorganized.
Total	100 points			

SELF-CHECK ANSWER KEY

1. What two questions does the book say have been 'conflated'? **Answer: B. How we care for people as they age, and what systems we build to do it**
2. According to the Future Poor thesis, about how many people under 50 earning under $150,000 are on track to live at or below poverty in old age? **Answer: D. 9 in 10**
3. In Inception, and in the book's use of it, what is 'the kick'? **Answer: B. The jolt that wakes a dreamer from the dream**
4. Which seed does the book say begins with Bismarck's pension in 1889? **Answer: A. Seed 2: Government Involvement**
5. According to the 2026 Social Security Trustees Report, when are combined OASDI trust fund reserves projected to be depleted? **Answer: B. 2034**

UNIT 3 · HOW WE GOT HERE · 1980–2010 · CHAPTER 5 OF THE BOOK

CODIFY

When the anomaly ended, what did America standardize in its place—and who was handed the risk?

LEARNING OBJECTIVES

- Trace the legal and political steps—from Section 401(k) and ERTA through the 1983 Social Security amendments, the Roth IRA, and the Pension Protection Act—by which the defined-contribution model became the standard.
- Analyze the Great Risk Transfer by identifying which risks (investment, longevity, inflation, behavioral) moved from employers to workers.
- Evaluate distributional evidence on access to plans, account balances, and the tax benefits of retirement saving across income and racial groups.
- Assess how the 1987, 2000–02, and 2007–09 market declines affected workers at different ages under a defined-contribution system.
- Construct and critique arguments for and against the book's claim that the 401(k) era replaced retirement with a counterfeit.

DISCUSSION QUESTIONS

1. The book calls the 401(k) a counterfeit that kept the name "retirement." Which features of a defined-benefit pension did it drop, and which (portability, ownership, inheritability) did it add? Is "counterfeit" the right word?
2. Test the book's argument: defenders of the 401(k) model point out that elderly poverty fell from 15.7 percent in 1980 to 8.9 percent in 2010, that DC accounts are portable for workers who change jobs, and that the PPA's automatic enrollment raised participation. Using data, weigh these points against the book's claim that the era codified a catastrophe.
3. Social Security survived two very different reform efforts in this era—a bipartisan rescue in 1983 and a failed privatization push in 2005. Why did one succeed and the other fail, and what does that say about the public's view of pooled versus individual risk?
4. Tax incentives for retirement saving flow mostly to higher earners. Is that an unavoidable feature of tax-based incentives or a design choice? Propose one change and predict its effects.
5. Enron employees held 62 percent of their 401(k) assets in company stock. Was that a failure of individual judgment, of plan design, or of the system's premise that workers should manage their own risk?
6. Compare the two people in the 2010 Two-Person Lens. Which risks did each face that a defined-benefit pension would have absorbed, and which would remain even with a pension?

KEY TERMS

Defined-contribution (DC) plan
A retirement plan, such as a 401(k), in which contributions go into an individual account; the eventual benefit depends on contributions and investment returns, and the worker bears the risk.

401(k) plan
A DC plan named for the tax-code section added in 1978 that lets employees defer part of their salary before tax, often with an employer match.

The Great Risk Transfer
Grimm's term for the shift of investment, longevity, and inflation risk from employers' pooled pensions to individual workers' accounts, presented to workers as freedom and choice.

Counterfeit (the book's usage)
The book's charge that the individual account kept the name "retirement" while sharing none of the pooled-risk, guaranteed-income substance of what it replaced.

Full retirement age (FRA)
The age at which Social Security pays an unreduced benefit. The 1983 amendments raised it gradually from 65 to 67 for people born in 1960 or later.

Roth IRA
An individual retirement account created in 1997 that is funded with after-tax dollars and allows tax-free qualified withdrawals.

Automatic enrollment
A plan design that enrolls workers in a 401(k) by default unless they opt out. The Pension Protection Act of 2006 made it safer for employers to adopt.

Qualified default investment alternative (QDIA)
A default investment, such as a target-date or balanced fund, into which a plan may place participants who make no choice, with fiduciary protection for the employer.

"Your number"
The industry's single dollar figure for a comfortable retirement. The book argues it turned a social question—how do we care for the aging?—into a personal one: did you save enough?

PRIMARY SOURCES

- **Ronald Reagan, First Inaugural Address** (1981, Avalon Project, Yale Law School). Read the full sentence around "government is the problem," including "in this present crisis," and ask how the qualifier changes its meaning. https://avalon.law.yale.edu/20th_century/reagan1.asp
- **Report of the National Commission on Social Security Reform (Greenspan Commission)** (1983, SSA History). Note how the commission framed the financing crisis and which burdens it chose to spread across workers, retirees, and the future. https://www.ssa.gov/history/reports/gspan.html
- **The Republican Contract with America** (1994, American Presidency Project, UC Santa Barbara). Read the Senior Citizens Fairness Act: what does it assume about older Americans, work, and private insurance? https://www.presidency.ucsb.edu/documents/the-republican-contract-with-america
- **Pension Protection Act implementation release** (2006, U.S. Department of Labor). Look at how the government justified automatic enrollment and default investments—and what that implies about the do-it-yourself model. https://www.dol.gov/newsroom/releases/ebsa/ebsa20060926
- **Private Pension Plan Bulletin Historical Tables and Graphs, 1975–2023** (2010, U.S. Department of Labor, EBSA). Use Tables E1, E7, and E10 to measure the shift from DB to DC plans in plans, participants, and assets. https://www.dol.gov/sites/default/files/ebsa/researchers/statistics/retirement-bulletins/private-pension-plan-bulletin-historical-tables-and-graphs.pdf

Assignment: Following the Risk: A DB-to-DC Data Investigation

DATA INVESTIGATION WITH CHART AND POLICY MEMO · 100 POINTS

Investigate the Great Risk Transfer with official data. Using the Department of Labor's Private Pension Plan Bulletin Historical Tables (Tables E1, E7, E10) and at least one Survey of Consumer Finances source (Federal Reserve or a CRS/GAO summary), build two charts: (1) active participants in DB vs. DC plans, 1975–2010; and (2) median retirement-account balances or account ownership by age or income group. Then test one of the book's claims against your data—for example, its statement that two-thirds of workers had DB plans in the early 1980s (compare EBRI's 38 percent of private wage and salary workers in 1979 and DOL's participant counts), or its claim about median balances for workers aged 55–64. Finally, write a memo to a congressional staffer explaining which risks moved, to whom, and what one policy could do about it.

Deliverable: Two original charts with source notes, a 300-word methods-and-data appendix, and a 1,000–1,200 word policy memo citing at least four sources (at least three official).

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Data accuracy & sourcing 30 pts	Pulls correct figures from official tables, documents table numbers and definitions (e.g., active participants vs. workers), and notes limitations such as double-counting of workers in multiple plans.	Figures accurate and sourced; minor gaps in definitions or limitations.	Some figures inaccurate or loosely sourced; definitions confused.	Data largely inaccurate, unsourced, or missing.
Charts & visual communication 20 pts	Charts are clear, honest (appropriate axes and scales), labeled with units and sources, and each makes one point a reader grasps in seconds.	Charts accurate and labeled with minor design issues.	Charts cluttered, mislabeled, or only loosely tied to the argument.	Charts missing or misleading.
Testing the book's claim 25 pts	Precisely states one claim, reconciles differing measures, and reaches a fair, evidence-based judgment—whether confirming, qualifying, or refuting it.	Tests a claim with relevant data; judgment reasonable but reconciliation of measures is partial.	Restates the claim with limited or mismatched data.	No genuine test of a claim.
Policy memo 25 pts	Identifies specific risks (investment, longevity, inflation, behavioral) and who bears them; recommends one feasible policy with trade-offs; concise, professional prose.	Clear analysis and recommendation; trade-offs only partly addressed.	Analysis general; recommendation vague or disconnected from data.	Memo missing key elements or unclear.
Total	100 points			

SELF-CHECK ANSWER KEY

1. Section 401(k) was added to the tax code in 1978. What happened on November 10, 1981? **Answer: B. The IRS issued regulations allowing pre-tax salary deferrals, unlocking widespread adoption**
2. Which change did the 1983 Social Security Amendments make? **Answer: B. Gradually raised the full retirement age from 65 to 67**
3. Between 1980 and 2010, how did active participants in private DB and DC plans change (DOL data)? **Answer: C. DB fell from 30.1 to 17.2 million while DC rose from 18.9 to 73.4 million**
4. What share of Enron's 401(k) plan assets was invested in Enron stock at the end of 2000? **Answer: C. About 62 percent**
5. What did the Pension Protection Act of 2006 encourage? **Answer: B. Automatic enrollment in 401(k) plans with protected default investments**

UNIT 4 · HOW WE GOT HERE · 1950–1980 · CHAPTER 4 OF THE BOOK

CLIMAX

Was the golden age of retirement a model we could rebuild, or an anomaly we mistook for one?

LEARNING OBJECTIVES

- Explain how Social Security expansion, defined-benefit pensions, and Medicare combined into the "three-legged stool" of postwar retirement security.
- Evaluate the book's "anomaly vs. model" thesis by testing each of the ten pillars against economic and demographic data.
- Analyze who was included in and excluded from the golden age, using evidence on pension coverage, vesting, race, and sex.
- Trace how the shocks of 1971–1980—the end of gold convertibility, the oil embargo, the 1973–74 bear market, and stagflation—strained the system.
- Compare the retirement prospects of the 1920 and 1960 birth cohorts at the 1980 threshold using the Two-Person Lens.

DISCUSSION QUESTIONS

1. Choose two of the book's ten pillars—one economic, one social. What evidence shows each pillar was in place from 1950 to 1980, and what evidence shows it eroding by 1980?
2. Test the book's argument: elderly poverty fell from 35.2 percent in 1959 to 14.6 percent in 1974, largely through deliberate legislation (benefit increases, Medicare, COLAs, SSI). Does this record suggest that at least part of the golden age was a replicable model rather than an accident of conditions? Use data to defend your answer.
3. Studebaker's 1963 failure and ERISA's 1974 response show The Promise being broken and then repaired. Why might the book describe broken pension promises as a moral betrayal rather than a financial loss?
4. Sun City sold retirement as a reward. How did the Search for Leisure change what Americans expected retirement to be, and who could afford the version being sold?
5. If the system was designed around a one-earner household, what happened to people who did not fit the design—single women, divorced wives, workers in uncovered or nonunion jobs?
6. Congress created the IRA (1974) and Section 401(k) (1978) while the defined-benefit system was at its height. Were these complements to the pension system, or the first move toward replacing it? What evidence would you need to decide?

KEY TERMS

Three-legged stool
The metaphor for postwar retirement income resting on Social Security, employer pensions, and personal savings; the book's draft adds Medicare to the government leg.

Anomaly vs. model
Grimm's distinction: a model has transferable mechanisms that can be studied and rebuilt, while an anomaly depends on unrepeatable conditions. The book argues 1950–1980 was an anomaly mistaken for a model.

Cost-of-living adjustment (COLA)
An automatic increase in benefits tied to inflation. Social Security's automatic COLAs, enacted in 1972, were first paid in 1975.

Vesting
The point at which a worker earns a non-forfeitable right to pension benefits. ERISA set the first federal minimum vesting standards in 1974.

Pension Benefit Guaranty Corporation (PBGC)
The federal agency created by ERISA to insure private defined-benefit pensions when plans fail. It paid its first pension check, for $140.75, on February 28, 1975.

Individual retirement account (IRA)
A tax-favored personal retirement account created by ERISA in 1974, initially for workers without an employer plan.

Supplemental Security Income (SSI)
A federal means-tested cash benefit for low-income aged, blind, and disabled people, created in 1972 and paid from January 1974.

Stagflation
The combination of high inflation and weak economic growth that marked the 1970s, eroding fixed incomes and straining pension finances.

Index fund
A fund that holds the securities in a market index rather than picking stocks. Bogle's 1976 fund made the approach available to individual investors.

PRIMARY SOURCES

- **The Social Security Act Amendments of 1950: A Summary and Legislative History** (1950, SSA History). Identify which groups were newly covered and how planners justified the size of the benefit increase.
  https://ssa.gov/history/1950amend.html
- **LBJ's remarks at the signing of the Medicare bill, Independence, Missouri** (1965, SSA History). Notice how Johnson frames Medicare as a moral obligation to older Americans—and how he links it to Truman's earlier failed attempt.
  https://www.ssa.gov/history/lbjstmts.html
- **Legislative history of the Social Security Amendments of 1972** (1972, SSA History). Trace how automatic COLAs were justified and what assumptions about inflation and wages were built into them.
  https://www.ssa.gov/history/1972amend.html
- **The Social Security "Notch" archive** (1977, SSA History). Follow how a technical fix to the 1972 formula became a lasting grievance for the cohort born in 1917–1921.
  https://www.ssa.gov/history/notchfile1.html
- **Private Pension Plan Bulletin Historical Tables and Graphs, 1975–2023** (1975, U.S. Department of Labor, EBSA). Use Tables E1 and E7 to see how many defined-benefit and defined-contribution plans and participants existed at the end of the golden age.
  https://www.dol.gov/sites/default/files/ebsa/researchers/statistics/retirement-bulletins/private-pension-plan-bulletin-historical-tables-and-graphs.pdf

Assignment: Anomaly or Model? A Debate Brief

DEBATE BRIEF WITH DATA · 100 POINTS

You will be assigned a side: the golden age of retirement (1950–1980) was (A) an unrepeatable anomaly, as the book argues, or (B) a replicable model whose core mechanisms could be rebuilt today. Using the book's ten pillars as your framework, evaluate at least six pillars with quantitative evidence—for example, worker-to-beneficiary ratios, elderly poverty rates, pension coverage, inflation, oil prices, or life expectancy at 65. For each pillar, state whether it was a condition (unrepeatable) or a mechanism (designable), and why. Include one chart you build from an official data source. Anticipate the strongest two arguments from the other side and rebut them. End with a one-paragraph policy implication: what, if anything, from 1950–1980 should be rebuilt?

Deliverable: 1,500–1,800 word debate brief with one original chart, at least five cited sources (at least three official data sources such as SSA, Census, BLS, or DOL), and a 3-minute opening statement for in-class debate.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Use of evidence & data 30 pts	Each of six or more pillars is assessed with accurate, well-chosen data from official sources; the chart is clear, correctly labeled, and central to the argument.	Most pillars supported with accurate data; chart present and readable.	Data thin, partly inaccurate, or not tied to specific pillars; chart decorative.	Little or no data; chart missing or misleading.
Analytical framework 30 pts	Sharply distinguishes conditions from mechanisms for each pillar and shows how pillars depended on one another.	Applies the condition/mechanism distinction consistently with some interdependence noted.	Framework applied unevenly or mostly descriptive.	Framework absent or misunderstood.
Engagement with counterarguments 20 pts	States the opposing side's two strongest arguments fairly and rebuts them with evidence.	Addresses two counterarguments with reasonable rebuttals.	Counterarguments weak, straw-manned, or only partly answered.	No engagement with the other side.
Policy implication & communication 20 pts	Concise, specific implication that follows from the analysis; brief and oral statement are polished and persuasive.	Clear implication and organized presentation with minor lapses.	Implication vague or disconnected; presentation uneven.	No implication; disorganized.
Total	100 points			

SELF-CHECK ANSWER KEY

1. What did the Social Security Amendments of 1972 add that the book calls the program's high-water mark? **Answer: B. Automatic cost-of-living adjustments, first paid in 1975**
2. What happened to Studebaker workers' pensions when the company closed its South Bend plant in 1963? **Answer: B. Older retirees were paid in full, about 4,000 active workers got roughly 15 percent, and most under 40 got nothing**
3. Which of these did ERISA (1974) NOT do? **Answer: D. Create Section 401(k)**
4. How did the ratio of covered workers to Social Security beneficiaries change from 1950 to 1980? **Answer: C. It fell from 16.5 to 3.2**
5. What triggered Maggie Kuhn's founding of the group that became the Gray Panthers in 1970? **Answer: A. Being forced to retire at 65**

UNIT 5 · HOW WE GOT HERE · 1920–1950 · CHAPTER 3 OF THE BOOK

CRUCIBLE

What happens when a promise forged in emergency is inherited as if it were permanent?

LEARNING OBJECTIVES

- Explain how the 1929–1932 collapse and the Great Depression turned elder poverty from a private family problem into a national policy question.
- Trace the design choices of the Social Security Act of 1935 and its 1939 amendments—age 65, payroll-tax financing, occupational exclusions, family benefits—and evaluate their long-run consequences.
- Analyze how the tax code, wartime wage controls, and labor law converted employer pensions into a mainstream bargained benefit by 1950.
- Evaluate competing scholarly explanations for the exclusion of agricultural and domestic workers, using demographic evidence.
- Apply the Two-Person Lens to compare how the 1890 and 1930 birth cohorts experienced the same retirement bargain in 1950.

DISCUSSION QUESTIONS

1. The book argues retirement was “forged in crisis.” Which features of the 1935 Act—age 65, payroll-tax financing, earned benefits, occupational exclusions—reflect emergency conditions, and which reflect long-term design choices?
2. Townsend’s plan was economically impractical, yet it shaped history. What does the Townsend Movement suggest about how mass movements influence policy design? Identify a present-day parallel.
3. Test the book’s argument: Grimm calls the agricultural and domestic exclusions a political concession to Southern Democrats, while SSA historian Larry DeWitt argues they reflected tax-collection feasibility and notes most excluded workers were white. Using the evidence in this module and at least one additional scholarly source, which explanation is better supported—and does the motive change the consequences?
4. Tax law, wartime wage controls, and a labor-law ruling—not a single pension statute—made employer pensions mainstream by 1950. What are the consequences of building retirement security as a by-product of other policies?
5. Ida May Fuller paid $24.75 in payroll taxes and collected $22,888.92. Was that a windfall, a fair return for a generation that lived through depression and war, or the first sign of an intergenerational bargain later cohorts would question?
6. Using the Two-Person Lens, what did the 1890 cohort know about the retirement contract that the 1930 cohort did not? How might that knowledge gap shape retirement politics over the next three decades?

KEY TERMS

Old-age insurance vs. old-age assistance
Title II of the 1935 Act created contributory insurance, with benefits earned through payroll taxes; Title I funded means-tested state assistance for the already-poor elderly. The distinction framed Social Security as an earned right rather than relief.

Payroll tax
A tax on wages, split between employer and worker, that finances Social Security. In 1937 it was 1 percent each on the first $3,000 of annual wages.

Defined-benefit (DB) pension
An employer plan that promises a set monthly income for life, typically based on years of service and salary. The employer, not the worker, bears the investment and longevity risk.

Pension trust
A legally separate fund that holds an employer's pension contributions and pays benefits. After 1926 its investment earnings were exempt from current federal income tax.

Qualified plan
A retirement plan that meets tax-code conditions—exclusive benefit of employees, no diversion of funds, no discrimination in favor of highly paid workers—in exchange for tax deferral. Congress first defined these conditions in 1942.

Fringe benefit
Compensation paid in a form other than cash wages, such as a pension or health insurance. Wartime wage controls made fringe benefits a principal way for employers to compete for workers.

Mandatory subject of bargaining
A topic an employer must negotiate with a union under federal labor law. The Inland Steel decisions of 1948 placed pensions in this category.

Margin buying
Purchasing stock with borrowed money, using the shares as collateral. In the late 1920s buyers often put down about 10 percent of the price.

Redlining
Rating neighborhoods, often by racial composition, as poor lending risks, which cut residents off from mortgage credit and the home equity it builds.

PRIMARY SOURCES

- **Social Security Act of 1935 (full text)** (1935, SSA History). Read Section 210(b) and list who is excluded from "employment": what kind of worker did the drafters imagine?
  https://www.ssa.gov/history/35act.html
- **Helvering v. Davis, opinion of Justice Cardozo** (1937, SSA History). Find how Cardozo describes the problem of old age in an industrial economy and why he thinks it is a national, not local, problem.
  https://www.ssa.gov/history/supreme1.html
- **The Townsend Plan Movement** (1933, SSA Historian's Office). Compare what Townsend promised with what the 1935 Act delivered, and note why his followers were disappointed.
  https://www.ssa.gov/history/towns5.html
- **Servicemen's Readjustment Act (GI Bill)** (1944, National Archives). Note what the law promised on paper; then compare it with the evidence on how it was administered.
  https://www.archives.gov/milestone-documents/servicemens-readjustment-act
- **Truman letter to steel industry and labor leaders** (1949, Harry S. Truman Library). See how pensions had become a matter of national industrial policy, important enough for presidential intervention.
  https://www.trumanlibrary.gov/library/public-papers/213/letter-steel-industry-labor-and-management-leaders-urging-early

Assignment: What They Knew: A Two-Person Lens Oral History

TWO-PERSON LENS ORAL-HISTORY INTERVIEW · 100 POINTS

Interview an elder, ideally 75 or older, about how their family experienced the Depression, World War II, or the early postwar years; if no such elder is available, work from a published oral-history collection with instructor approval. Obtain consent, record at least 30 minutes, and transcribe the most important passages. Then write a Two-Person Lens essay: place your narrator (or their parent) at a threshold year and pair them with a 20-year-old of the same moment. Connect at least three specifics from the interview to verified events in this module—such as the 1935 exclusions, the GI Bill, or a 1949 pension settlement—and identify at least two of the nine seeds at work. Close by reflecting on what your narrator's generation learned through hardship that the next generation inherited without learning.

Deliverable: Annotated transcript excerpt (2–3 pages) with a signed consent note, plus a 1,200–1,500 word essay citing at least three sources, one of them a primary source.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Historical accuracy & evidence 30 pts	Ties at least three interview details to precisely dated, correctly cited events; distinguishes clearly between memory and documented fact.	Ties three details to events with minor imprecision in dates or sourcing.	Connects interview to history only loosely; some claims unsourced or inaccurate.	Little or no historical grounding; significant factual errors.
Oral-history method & ethics 20 pts	Documented consent, thoughtful open-ended questions, accurate transcription, and reflection on the limits of memory and the interviewer's influence.	Consent and transcript present; questions adequate; limited reflection on method.	Transcript thin or questions mostly closed; consent documentation incomplete.	No consent documentation or no usable transcript.
Two-Person Lens analysis 30 pts	Constructs a vivid, evidence-based pairing of a 60-year-old and a 20-year-old at the same threshold and draws a precise, original irony from the contrast.	Clear pairing and contrast; irony present but somewhat predictable.	Pairing described but contrast underdeveloped or mostly summary.	Lens missing or misapplied.
Seed connections & writing 20 pts	Names at least two seeds by number and shows how each operates in the narrator's story; prose is polished and well organized.	Two seeds identified with reasonable explanation; minor writing issues.	Seeds named but not explained; organization uneven.	Seeds absent; writing impedes understanding.
Total	100 points			

SELF-CHECK ANSWER KEY

1. Why did the Committee on Economic Security choose age 65 for Social Security? **Answer: B. Because about half of state pension systems and Railroad Retirement used 65, and actuaries found it affordable**
2. Which kinds of work did the 1935 Social Security Act exclude from old-age insurance? **Answer: B. Agricultural labor and domestic service in private homes, among others**
3. How did the Stabilization Act of 1942 encourage the growth of employer pensions? **Answer: B. It froze wages while excluding reasonable insurance and pension benefits**
4. How long did it take the Dow to regain its September 1929 high? **Answer: C. About 25 years (1954)**
5. What did the Social Security Amendments of 1939 change? **Answer: B. They added benefits for wives, children, and survivors and moved monthly benefits up to 1940**

UNIT 6 · HOW WE GOT HERE · 1890–1920 · CHAPTER 2 OF THE BOOK

CONCEPTION

Was retirement invented to honor aging workers, or to manage them?

LEARNING OBJECTIVES

- Explain the actual design of Bismarck's 1889 pension (age 70, lowered to 65 in 1916) and correct the common myth about its origin.
- Evaluate the book's 'vacancy mechanism' and 'exit subsidy' thesis using evidence from German, American public and corporate pension design.
- Trace how Union Army pensions moved from compensation for disability (1862) to support based on age (1904–1912).
- Analyze how race, region, sex and immigrant status shaped who could stop working between 1890 and 1920.
- Compare the first employer pensions (Pennsylvania Railroad 1900, Civil Service Retirement Act 1920) with public pensions of the same era in terms of who bore the risk and who controlled the exit.

DISCUSSION QUESTIONS

1. Test the vacancy-mechanism thesis. If Germany's 1889 law paid at 70 and, as the book argues, most contributors died before collecting, how many jobs could it actually have opened? Does the 1889 law fit the thesis as well as the Pennsylvania Railroad's mandatory retirement at 70 does? Use evidence from both.
2. The book calls Bismarck's pension 'a political weapon wrapped in social welfare.' Can a policy be both politically motivated and genuinely humanitarian? Use the 1881 imperial message and the 1878 Anti-Socialist Law in your answer.
3. Union pensions grew from 537,944 recipients in 1890 to 966,012 in 1893 under pressure from the Grand Army of the Republic. Was this a fair expansion of support to aging veterans, or the template the book describes of 'costs that escalate far beyond original projections'? What evidence would settle it?
4. In 1900, 84.1 percent of older Black men and 64.4 percent of older white men were in the labor force. What explains the gap: occupation, region, wealth, pension access or discrimination? What would you need to know to separate these causes?
5. Compare the German (insurance), British (means-tested pension with a character test) and American (veterans' pension) answers to old age. Which one best honors the Natural Order principles of Not Poverty, Community and Generativity?
6. The book argues 'a man who had grown old on a farm had a role; a man who had grown old in a factory had a problem.' Does the evidence from this era support that contrast, or does it romanticize farm life? Consider sharecroppers and farm widows.

KEY TERMS

Vacancy mechanism
Grimm's term for the original function of retirement: a way to open positions in an industrial labor market with no natural turnover by moving older workers out.

Exit subsidy
The book's reading of Bismarck's pension. It was not a reward for a life's work but a payment that made leaving work survivable, and so made it possible.

Zero-Sum Machine
The book's image of the factory economy, where a fixed number of jobs meant an old worker who could not afford to leave blocked a young one at the gate.

Social insurance
A compulsory, usually government-run system that pools risks such as sickness, injury, disability or old age, funded by contributions or taxes, and pays benefits as a right when the risk occurs.

Dependent pension
Under the 1890 act, a Union veteran's pension based on present inability to do manual labor, from any cause, rather than an injury suffered in the war.

Service and age pension
A pension awarded for military service plus reaching a set age, as in the 1907 act (62 and older), with no disability required.

Mandatory retirement
An employer rule forcing workers out at a set age, such as 70 at the Pennsylvania Railroad (1900) and in the 1920 federal civil service law.

Labor force participation rate
The share of a population group that is working or looking for work. For men 65 and older it fell from about 78 percent in 1880 to about 60 percent in 1920 (Costa).

Noncontributory, unfunded pension
An early employer plan paid out of current revenues with no worker contributions and no money set aside, and usually revocable at the employer's discretion.

PRIMARY SOURCES

- **Dependent Pension Act of 1890 (26 Stat. 182)** (1890, GovInfo, U.S. Statutes at Large). Notice the wording 'unable to earn a support by manual labor' and the conditions placed on widows. Ask who the law imagines as deserving.
  https://www.govinfo.gov/link/statute/26/182
- **Act of February 6, 1907: Service and Age Pensions (34 Stat. 879)** (1907, GovInfo, U.S. Statutes at Large). Find the exact sentence where age replaces disability as the qualifying condition.
  https://www.govinfo.gov/link/statute/34/879
- **Progressive Party Platform** (1912, Teaching American History). Compare its social-insurance plank with Bismarck's design. Who would pay, and who would be protected?
  https://teachingamericanhistory.org/document/the-progressive-party-platform-1912/
- **Civil Service Retirement Act of 1920 (41 Stat.)** (1920, GovInfo, U.S. Statutes at Large). Look at how retirement ages vary by occupation and how the annuity scale rewards long service. Both are evidence for or against the vacancy-mechanism thesis.
  https://www.govinfo.gov/link/statute/41/618
- **Age 65 Retirement (the Bismarck myth)** (1889, SSA Historian's Office). Use the SSA's account to separate what Bismarck did from what popular history credits him with.
  https://www.ssa.gov/history/age65.html

Assignment: Policy Brief: Was Retirement Born as a Vacancy Mechanism?

POLICY BRIEF · 100 POINTS

Write to a modern congressional committee as a staff historian. Your brief evaluates the book's thesis that the first retirement systems were 'a vacancy mechanism… designed to clear a position' rather than to honor a life. Examine at least two of these cases: Bismarck's 1889 law and its 1916 change; the Dependent Pension Act of 1890 and the age-based pensions of 1904 and 1907; the Pennsylvania Railroad plan of 1900; the Civil Service Retirement Act of 1920. For each, identify the stated purpose, the design features (age, service, funding, mandatory exit) and the evidence of actual purpose. Reach a verdict: supported, partly supported, or not supported. Close with one lesson for today's debate over retirement ages.

Deliverable: 1,000–1,300 word policy brief with an executive summary (≤150 words), a findings section, a verdict and one recommendation; at least four sources, including two primary sources.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Evidence & historical accuracy 30 pts	Uses precise, correctly cited facts from primary statutes and scholarship, such as ages, rates, dates and coverage, with no errors.	Evidence is accurate and relevant, with minor gaps or a missing citation.	Evidence is general or partly inaccurate, or relies on a single source.	Little evidence, or significant factual errors.
Evaluation of the thesis 30 pts	Tests the thesis case by case, engages the strongest counter-evidence, and reaches a nuanced verdict that follows from the evidence.	Reaches a clear verdict supported by evidence, with some attention to counterarguments.	The verdict is asserted more than demonstrated, or counter-evidence is ignored.	No clear verdict, or the brief simply restates the book.
Policy relevance & recommendation 20 pts	Draws a specific, well-reasoned lesson for today's retirement-age debate that follows from the findings.	Offers a reasonable lesson loosely tied to the findings.	The lesson is generic or disconnected from the evidence.	No recommendation.
Brief format & clarity 20 pts	Tight executive summary, scannable structure, plain professional prose, and correct citations.	Follows the format with minor clarity or citation issues.	Format is partly followed; the prose is wordy or unclear.	Does not follow the brief format.
Total	100 points			

SELF-CHECK ANSWER KEY

1. At what age did Germany's 1889 old-age pension originally begin paying? **Answer: C. 70**
2. What did the Act of February 6, 1907 make sufficient for a Union veteran's pension? **Answer: B. Reaching age 62, with 90 days' service and an honorable discharge**
3. Roughly what share of federal expenditures went to Union Army pensions in 1893? **Answer: C. More than 40 percent**
4. Which 1920 law created a retirement system for federal civil servants? **Answer: C. The Civil Service Retirement Act**
5. In 1900, about what share of Black men aged 65 and older were in the labor force? **Answer: D. About 84 percent**

UNIT 7 · THE ROOT · PRE-1890 · CHAPTER 1 OF THE BOOK

CLASSICAL

If no society before industrialization had 'retirement,' how did people grow old, and what did they know that we have forgotten?

LEARNING OBJECTIVES

- Explain the three principles of Natural Order Economics (Not Poverty, Community, Generativity) and identify each in at least two pre-industrial institutions.
- Analyze the 'life expectancy paradox' by distinguishing life expectancy at birth from the lifespan of people who survived childhood.
- Trace American public pensions from the 1776 Continental Congress resolution through the 1862 General Law and the 1879 Arrears Act.
- Evaluate how pre-1890 institutions drew boundaries around who deserved protection. Cases include almshouses, coverture, the Freedman's Savings Bank and exclusion laws.
- Compare a pre-industrial community care system with modern retirement, and assess the book's claim that the classical world offers 'a blueprint.'

DISCUSSION QUESTIONS

1. The book insists the classical world was 'not a golden age,' yet calls its architecture of mutual obligation 'a blueprint.' Using evidence on coverture, serfdom, almshouses or the Dawes Act, argue whether that blueprint can be separated from the injustices that came with it.
2. Grimm treats the absence of a word for retirement as 'a data point.' Yet the 1818 service pension act and Paine's Agrarian Justice show people thinking about support in old age well before 1890. Do these examples weaken the claim that retirement 'did not exist,' or confirm that what existed was something different?
3. Choose two institutions from this module, such as pe'ah, zakat, a guild, the Free African Society or an almshouse. Which Natural Order principles does each embody, and which does each violate?
4. In 1880, 87 percent of older farm men were in the labor force, compared with 66 percent of other older men. Is that evidence of the 'evolving and embedded' work the book describes, of economic necessity, or of both? What evidence would help you decide?
5. The book calls the treatment of the aging 'a moral and philosophical question masquerading as a financial one.' What would a retirement system designed from moral obligation, rather than from individual accounts, look like in practice?
6. The Freedman's Savings Bank, the Chinese Exclusion Act and unequal pension approvals for Black veterans all came before 1890. How do they support the claim that Seed 1 (Segregation & Boundaries) is older than retirement itself?

KEY TERMS

Natural Order Economics
Grimm's framework of three principles: Not Poverty (sufficiency as a floor), Community (risk shared and pooled) and Generativity (contributing across the whole lifespan). The book argues pre-industrial societies built these in and industrialization broke all three at once.

Pe'ah
The biblical requirement (Leviticus 19:9; 23:22) to leave the corners of a field unharvested for the poor. The book reads it as an agricultural welfare system written into religious law.

Zakat
Required almsgiving and one of the Five Pillars of Islam, customarily 2.5 percent of wealth above a minimum threshold. It goes to set categories of people, including the poor, the needy and those in debt.

Xenodochium
A church-run hostel or hospital that first appeared in the Byzantine world, serving travelers and the needy. Related institutions specialized in the aged (gerocomium), the sick and orphans.

Guild
A medieval association of craftsmen or merchants that regulated a trade. Guilds kept welfare funds for sick or elderly members and supported members' widows and orphans, an early form of pooled risk.

Almshouse (poorhouse)
A locally funded institution for the destitute, inherited from English poor law. By the late nineteenth century many American poorhouses were becoming old-age homes of last resort.

Coverture
The common-law doctrine that folded a married woman's legal identity into her husband's. She could not own property, make contracts or keep wages in her own name.

Mutual aid society
A member-run organization in which people paid regular dues to support members who fell sick and the families of members who died. It was community insurance built from below.

Life expectancy at birth
The average lifespan of all babies born in a given period. In pre-industrial societies infant and child deaths pulled it down, so it badly understates how long people who survived childhood actually lived.

PRIMARY SOURCES

- **Preamble and Articles of the Free African Society** (1787, PBS, Africans in America). Look for how members defined mutual obligation, and for who was included and who was excluded.
  https://www.pbs.org/wgbh/aia/part3/3h465.html
- **Imperial message on social insurance, with Bismarck's Reichstag remarks** (1881, SSA Historian's Office). Compare the humanitarian language ('a well-grounded claim to care from the state') with the political motives the book identifies.
  https://www.ssa.gov/history/ottob.html
- **Veteran's Pensions: The Law and Its Administration From the Revolutionary War to the Civil War** (1893, VCU Social Welfare History Project). Trace how eligibility moved from disability toward service and need, and note how an 1893 writer judged the system's growth.
  https://socialwelfare.library.vcu.edu/social-security/veterans-pensions-early-history/
- **Freedman's Savings and Trust Company depositor records** (1865, National Archives). The signature cards record depositors' ages, birthplaces and occupations. Ask what these savers were planning for, and what the bank's failure took from them.
  https://www.archives.gov/research/african-americans/freedmans-bank

Assignment: Then and Now: A Community Care System Through the Natural Order Lens

PRIMARY SOURCE ANALYSIS · 100 POINTS

Choose one community care system from before 1890 and at least one primary text that describes it. Options include pe'ah (Leviticus 19:9–10), zakat, a medieval guild ordinance, the 1601 Poor Relief Act, the Free African Society's articles (1787), Bismarck's 1881 imperial message, or a Revolutionary or Civil War pension law. Analyze the system through all three Natural Order principles: Not Poverty, Community and Generativity. Then compare it with the main

tools of modern American retirement, Social Security and the 401(k): who carries the risk, who is included, and what is expected of the aging person? Address the injustices of your system honestly. Close by evaluating the book's claim that the classical world offers 'a blueprint.' Which part is worth recovering, and which part must stay behind?

Deliverable: 1,200–1,500 word analytical essay citing at least one primary source and at least two scholarly or official secondary sources (Chicago or MLA).

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Primary source analysis & historical context 30 pts	Reads the primary text closely, with precise quotation, and places it accurately in its time, place and social order.	Analyzes the source accurately with some context; the quotations support the points made.	Mostly summarizes the source; context is thin or has minor errors.	Misreads the source, gives no context, or uses no primary source.
Application of the three Natural Order principles 25 pts	Applies all three principles with nuance, showing where the system honors and where it violates each one.	Applies all three principles accurately but unevenly.	Applies one or two principles, or uses them as labels without analysis.	Principles are missing or misdefined.
Comparison with modern retirement & evaluation of the book's claim 25 pts	Builds a clear argument comparing risk, inclusion and expectations, weighs the 'blueprint' claim with evidence, and takes a defensible position.	Makes a sound comparison and takes a position, with some evidence.	The comparison is superficial or the position is asserted without support.	No real comparison or evaluation.
Writing, organization & citation 20 pts	Clear thesis, logical structure, clean prose, and correct citations that meet the source requirements.	Organized and readable, with minor citation or style errors.	Organization or prose gets in the way of the argument, or a source requirement is missed.	Disorganized, with missing or improper citations.
Total	100 points			

SELF-CHECK ANSWER KEY

1. In 1880, about what share of American men aged 65 and older were in the labor force? **Answer: C. About 78 percent**
2. What did the biblical law of pe'ah require? **Answer: B. Leaving the corners of a field unharvested for the poor**
3. Which company created the first formal private pension plan in the United States, in 1875? **Answer: B. American Express**
4. Who became president of the Freedman's Savings and Trust Company in March 1874 and then recommended that Congress close it? **Answer: A. Frederick Douglass**
5. According to the book's 'life expectancy paradox,' what mainly explains the low average life expectancy at birth in pre-industrial societies? **Answer: B. Very high infant and child mortality pulled the average down**

UNIT 8 · WHERE IT'S HEADING · BEYOND 2040 · CHAPTER 7 OF THE BOOK

CATASTROPHE

What do the official projections say the 2040s and beyond will look like, and which parts of that future are still a choice?

LEARNING OBJECTIVES

- Distinguish historical data from official projections, and identify the source, assumptions and uncertainty range behind each projection used in this module.
- Explain what happens under current law when Social Security and Medicare trust funds are depleted, and compare the Trustees' and CBO's estimates.
- Analyze projected demographic and care-economy pressures (the 85+ population, caregiver support ratios, direct-care workforce demand) and connect them to the book's Natural Order principles.
- Evaluate competing retirement-adequacy projections (the National Retirement Risk Index and Morningstar's model) for what they include, what they leave out and whom they show at greatest risk.
- Construct and defend two evidence-based scenarios for 2050: one in which Congress acts and one in which it does not.

DISCUSSION QUESTIONS

1. Every number in this module is a projection. Pick one and identify who produced it, what it assumes and what would have to change for it to be wrong. How confident should we be?
2. Challenge the book: Congress acted in 1983 when Social Security faced a shortfall, and the National Retirement Risk Index improved from 47% to 39% between 2019 and 2022. Does this evidence weaken the claim that catastrophe is coming, or does it show only that the catastrophe can be postponed?
3. If Congress must close the gap, should the burden fall mainly on today's workers (higher payroll taxes) or today's and tomorrow's retirees (benefit changes)? Use the Natural Order principles of Not Poverty and Community to defend your answer.
4. The care cliff (fewer family caregivers, millions of direct-care openings, high costs) gets less public attention than the trust funds. Why might that be, and which is the bigger threat to dignity in old age?
5. Morningstar projects better outcomes for Gen Z (37% short) than for Boomers (52%), largely because of longer 401(k) participation. Does that support the defined-contribution system, or the book's critique of it?
6. The book's synopsis asks what the ancient question (what does a society owe its aging members?) looks like after the improvised answers fail. Draft your own one-paragraph answer for 2060.

KEY TERMS

Projection (intermediate assumptions)
The Trustees' best estimate, bracketed by "low-cost" and "high-cost" alternatives. A projection describes what happens if current law and assumptions hold; it is not a forecast of what Congress will do.

Current-law payable benefits
The benefits Social Security could pay from incoming revenue alone after reserves are depleted. Because the program cannot borrow, the result is an automatic across-the-board cut.

Actuarial deficit
The average change in income or cost, as a percentage of taxable payroll, needed to keep a program solvent for 75 years: 4.42% for Social Security in the 2026 Trustees Report.

Old-age dependency ratio
The number of people aged 65 and older for every 100 working-age adults, projected by Census to rise from 28 in 2020 to 41 in 2060.

Caregiver support ratio
AARP's measure of potential family caregivers aged 45–64 for each person aged 80 and older: 7.2 in 2010, projected to fall to 2.9 by 2050.

Long-term services and supports (LTSS)
Help with daily activities such as bathing, dressing and eating, provided at home, in assisted living or in nursing homes. Medicare does not generally cover it.

Direct care worker
A home health aide, personal care aide or nursing assistant. This workforce of about 5.4 million is projected to need 9.7 million job openings filled from 2024 to 2034.

National Retirement Risk Index (NRRI)
Boston College's estimate of the share of working-age households at risk of being unable to maintain their pre-retirement living standard: 39% in 2022.

PRIMARY SOURCES

- **2026 Trustees Report, Section IV.B: Long-Range Estimates** (2026, Social Security Administration, Office of the Chief Actuary). Find the payroll-tax and benefit-cut figures that would close the 75-year gap, and notice how the Trustees present the options neutrally.
  https://www.ssa.gov/oact/TR/2026/IV_B_LRest.html
- **CBO's 2026 Long-Term Projections for Social Security** (2026, Congressional Budget Office). Compare CBO's exhaustion date and benefit cut with the Trustees', and identify which assumptions drive the difference.
  https://www.cbo.gov/publication/62556
- **The National Retirement Risk Index: An Update from the 2022 SCF** (2024, Center for Retirement Research at Boston College). Look for why the index improved and for the authors' caveats about housing prices and pandemic-era saving.
  https://crr.bc.edu/the-national-retirement-risk-index-an-update-from-the-2022-scf/
- **2023 Profile of Older Americans** (2024, Administration for Community Living (HHS)). Note the projected growth of the 65+ and 85+ populations and the scale of unpaid family caregiving.
  https://acl.gov/sites/default/files/Profile%20of%20OA/ACL_ProfileOlderAmericans2023_508.pdf
- **Demographic Turning Points for the United States: Population Projections for 2020 to 2060** (2020, U.S. Census Bureau (P25-1144)). Trace the old-age dependency ratio and the 85+ population to 2060, and consider how immigration assumptions shape them.
  https://www.census.gov/content/dam/Census/library/publications/2020/demo/p25-1144.pdf

Assignment: Two Futures: A 2050 Scenario Memo

SCENARIO-FORECAST POLICY MEMO · 100 POINTS

Write a forecast memo to a member of Congress describing two futures for a specific community in 2050, such as your hometown, county or a group of workers. Future A: Congress does not act, and Social Security and Medicare Part A pay only current-law payable benefits. Future B: Congress enacts a solvency package of your design, using at least two levers from the Trustees' or CBO's menu. For each future, project at least four indicators (for example income, poverty, caregiving, housing and the labor force), grounding each in a cited official projection and clearly marking your own extrapolations. End by recommending one future and applying at least one of the book's Natural Order principles (Not Poverty, Community, Generativity) to justify it.

Deliverable: A 1,500–1,800-word memo with a side-by-side indicator table for Futures A and B and at least six sources, including at least three official projections (SSA Trustees, CBO, Census, ACL or similar).

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Evidence & projection literacy 30 pts	Every projection is cited, dated and labeled with its assumptions; the memo clearly separates official projections from the student's own extrapolations and notes uncertainty ranges.	Projections are cited and mostly well labeled; uncertainty is mentioned but not explored.	Some projections are uncited or presented as certainties; official and personal estimates are blurred.	Few or no credible sources; predictions are stated as facts.
Scenario design & internal logic 30 pts	Both futures are concrete, internally consistent and traceable from assumptions to outcomes; the reform package in Future B is specific and plausibly sized.	Both futures are coherent, with minor gaps in logic or in how the reform package is specified.	One future is underdeveloped, or the reform package is vague or implausible.	Scenarios are missing, contradictory or purely rhetorical.
Application of the book's framework 25 pts	Uses at least one Natural Order principle and one seed precisely, testing the book's argument rather than merely echoing it.	Applies the framework accurately but somewhat generally.	Mentions the framework without using it to analyze the scenarios.	No meaningful engagement with the book's framework.
Policy writing & presentation 15 pts	Concise, persuasive memo voice suited to a legislator, with a clear table, a firm recommendation and clean citations.	Clear and organized, with minor issues of concision or formatting.	Wordy or disorganized; the table is hard to read.	Not in memo form, missing the table or lacking citations.
Total	100 points			

SELF-CHECK ANSWER KEY

1. Under the 2026 Trustees Report, about what share of scheduled benefits would the combined Social Security trust funds be able to pay after depletion in 2034? **Answer: C. About 83%**
2. What does a Trustees "projection" represent? **Answer: B. What happens if current law and the stated assumptions hold**
3. AARP projected the caregiver support ratio, potential caregivers aged 45–64 per person aged 80 and older, at what level by 2050? **Answer: C. 2.9**
4. According to the 2026 Trustees, which change, by itself, would eliminate Social Security's 75-year deficit? **Answer: A. Raising the payroll tax from 12.4% to about 16.83% immediately**
5. Which group did Morningstar's 2024 model project to be most likely to run short of money in retirement? **Answer: C. Single women**

UNIT 9 · WHAT WE DO NOW · TODAY · CHAPTER 8 OF THE BOOK

CORRECTION

Once the humanitarian question is separated from the retirement question, what should we build, and what should we stop building?

LEARNING OBJECTIVES

- Distinguish the humanitarian question from the structural question (the Knot) and classify current retirement policies by which question they answer.
- Explain the three Natural Order principles (Not Poverty, Community, Generativity) and use them as explicit criteria to evaluate a policy or practice.
- Evaluate real-world corrective proposals (state auto-IRAs, the Saver's Match, children's seed accounts, Social Security solvency options, the village and multigenerational models) on evidence, cost and trade-offs.
- Analyze the book's orchestration ("Magic Circle") concept, distinguishing household-level corrections from society-level ones and assessing its limits.
- Design and defend a correction for a real family or community that applies all three Natural Order principles.

DISCUSSION QUESTIONS

1. Use the Knot. Choose one institution (Social Security, the 401(k), Medicare or a state auto-IRA) and argue which question it answers: the humanitarian one, the structural one or both. What would change if it were redesigned to answer the other?
2. Challenge the book: Social Security moved 28.8 million people out of poverty in 2025. Does that show that modern institutions can answer the humanitarian question collectively, and does the book's call for a "return" underrate what already works?
3. The Circle section describes the author's own firm's method. How should readers weigh a diagnosis offered by someone who also offers a remedy? What evidence would show that orchestration is a structural correction rather than a better individual product?
4. The book asserts that "only about seventeen percent of your financial outcome is within your control." What data and definitions would you need to test that claim, and why might it matter whether it is true?
5. Ask yourself "who gave you that dream?" Trace one element of your own picture of later life (an age, a place, an activity, a number) back to one of the nine seeds.
6. Rank the correctives in this module (auto-IRAs, the Saver's Match, children's seed accounts, Social Security levers, villages, multigenerational homes) by how well each honors Not Poverty, Community and Generativity. Which ones redecorate Individualism instead of correcting it?

KEY TERMS

The Knot (the Conflation)
The book's name for confusing two questions: the ancient humanitarian one (how do we care for people as they age?) and the modern structural one (how does each individual fund thirty years of not working?).

Not Poverty
The first Natural Order principle: sufficiency as a floor, held in place by something bigger than one person's savings account.

Community
The second Natural Order principle: risk shared and pooled across a group, so that no individual bears alone what a community can spread.

Generativity
The third Natural Order principle: contribution sustained across the whole lifespan, changing with capacity instead of stopping at a fixed age.

Orchestration (the Magic Circle)
Grimm's planning method of arranging every available tool (tax, insurance, investments, income, risk, estate) to work together as one system, instead of asking which single product is best.

The Kick
Borrowed from Inception, the book's term for the jolt that wakes a reader from an inherited dream of retirement. The question "who gave you that dream?" is its smallest form.

Educated heretic
The book's name for a person who understands the retirement system's history, logic, appeal and math, can see where it breaks, and builds alternatives rather than only tearing down.

State auto-IRA
A state-run program that enrolls workers in payroll-deduction IRAs by default when their employer offers no plan. OregonSaves (2017) was the first.

Phased retirement
Reducing hours or responsibilities gradually instead of stopping all at once. It is one practical form of the Generativity principle.

PRIMARY SOURCES

- **2026 Trustees Report, Section IV.B: Long-Range Estimates** (2026, Social Security Administration, Office of the Chief Actuary). Read the neutral menu of solvency options and identify which group bears the cost under each. https://www.ssa.gov/oact/TR/2026/IV_B_LRest.html
- **Social Security Amendments of 1983: Legislative History and Summary** (1983, SSA History). Note how the package mixed revenue and benefit changes, as a model for negotiated structural repair. https://www.ssa.gov/history/1983amend.html
- **CalSavers Launches Statewide (press release)** (2019, California State Treasurer). Identify the problem the program was designed to solve and the defaults it relies on. https://www.treasurer.ca.gov/news/releases/2019/20190701/66.pdf
- **State Program Performance Data — Historical Trends** (2026, Georgetown University Center for Retirement Initiatives). Track assets and funded accounts across state auto-IRAs, and ask what "success" should mean. https://cri.georgetown.edu/states/state-data/historical-trends
- **The Demographics of Multigenerational Households** (2022, Pew Research Center). Ask whether the rise of multigenerational living is a choice, a necessity or both, and what that implies for the Community principle. https://www.pewresearch.org/social-trends/2022/03/24/the-demographics-of-multigenerational-households/

Assignment: Design a Correction

CAPSTONE PROPOSAL · 100 POINTS

Choose a real family (your own, with permission, or an interviewed household) or a real community (a neighborhood, congregation, workplace, union local or town). Diagnose its current approach to aging using the Knot: where are the humanitarian and structural questions confused? Trace at least three of the nine seeds at work. Then design a correction that explicitly applies all three Natural Order principles: a sufficiency floor (Not Poverty), a shared-risk mechanism (Community) and a pathway for contribution across the lifespan (Generativity). Draw on at least two real-world models from this module and cite evidence about how they have worked. Address costs, trade-offs and who could object. Close with a one-paragraph reflection on how your own answer to "who gave you that dream?" changed over the course.

Deliverable: A 2,000–2,500-word proposal, a one-page visual "circle" diagram of the correction and a 5-minute presentation, with at least eight cited sources, at least three of them official data or primary sources.

CRITERION	EXEMPLARY	PROFICIENT	DEVELOPING	BEGINNING
Diagnosis & evidence 25 pts	Precisely identifies where the humanitarian and structural questions are confused, traces three or more seeds with specific evidence, and grounds the analysis in current, cited data.	Sound diagnosis and seed-tracing with adequate evidence; some claims are general.	Diagnosis is vague or seeds are named without evidence.	Little or no diagnosis; claims are unsupported.
Application of the Natural Order principles 30 pts	All three principles are built into concrete mechanisms (a defined floor, a real risk pool, a contribution pathway) that work together as a coherent system.	All three principles are addressed, though one is thinner or less concrete.	Principles are named rather than built into the design, or one is missing.	The design does not engage the principles.
Feasibility, trade-offs & fairness 25 pts	Realistically sizes costs, names who pays and who benefits, anticipates objections (including from the book's critics), and adapts lessons from real models.	Addresses costs and trade-offs reasonably but leaves some objections unanswered.	Feasibility is asserted rather than shown, and trade-offs are largely ignored.	The proposal is impractical or one-sided, with no trade-offs considered.
Communication & reflection 20 pts	Clear, compelling proposal and diagram; a confident, well-timed presentation; and an honest, specific reflection on how the student's own "dream" changed.	Clear proposal and presentation with a thoughtful but general reflection.	Organization or the visual is weak; the reflection is superficial.	Missing components, unclear communication or no reflection.
Total	100 points			

SELF-CHECK ANSWER KEY

1. According to the book, what two questions does "the Knot" confuse? **Answer: B. How we care for people as they age, and how each individual funds thirty years of not working**
2. Which Natural Order principle means "sufficiency as a floor"? **Answer: C. Not Poverty**
3. What question does orchestration (the Magic Circle) ask instead of "which product is best"? **Answer: B. How every available tool can be arranged to work together as one system**
4. What does a state auto-IRA program such as OregonSaves (2017) or CalSavers (2019) do? **Answer: B. Enrolls workers by default in payroll-deduction IRAs when their employer offers no plan**
5. In the book, what is an "educated heretic"? **Answer: C. Someone who understands the system's history, logic, appeal and math, sees where it breaks and builds rather than only tearing down**